Founded in 1901, the firm had a lot of success early. As an interesting side point, Phelps included Gillette in his book. The stock was a 100-bagger from 1943 to 1971. The cost in 1943 was just $4.75 and that would have grown to $364 per share by 1971. “Fortune’s July 1962 issue named it the third most profitable company in America,” Alejandro writes.

“In my research of 100-baggers,” Alejandro continues, “I have seen that a constant desire to grow a business is a key characteristic.” He found this trait throughout Gillette’s history. It was always expanding into new markets and creating new products. Alejandro found Gillette’s use of technology was important:

> One of the ways that they were able to do this so effectively was through their wise use of technology for the development and marketing of products. Throughout its history Gillette executives showed an understanding of technology that gave them an edge over their competitors. As Darwin said, “It is not the strongest or the most intelligent who will survive but those who can best manage change.”

For example, Gillette was an early adopter in the use of television advertising.

“In 1944, when television was largely ignored by brands, Gillette executives took a gamble on it,” Alejandro writes. And this greatly enhanced the visibility of Gillette’s brand. Gillette didn’t just spend money on advertising, either, but tracked sales using data. Ultimately, Gillette found it helped boost sales in those early years.

“Another technology play that benefitted Gillette was their decision to continuously work on improvements for their blades,” Alejandro said.

“They even did this when there is no sign of a competitor with a product that could take away a portion of their market.”

This was partly because they found loyal customers who would pay more for a blade that was slightly better than the one they currently used. Alejandro cites a line from Peter K. Hoffman, president of Gillette’s grooming division, in 2001: “History has shown there is a